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THE WHITE HOUSE
WASHINGTON

May 18, 1943.

MEMORANDUM FOR THE PRESIDENT:

Re: Attached memorandum.

I am attaching some reflections I have had after reading hundreds of dispatches and letters from China and talking to many people who have recently returned from there. They may have some bearing on the difficult problems that are up at the moment.

Lauchlin Currie

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May 18, 1943.

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SOME REFLECTIONS ON AMERICAN CHINESE POLICY

An attempt is made in this memorandum to present and examine certain basic considerations underlying the formulation of current American political and military policy towards China.

Will China Collapse? - Here it is essential to distinguish between economic deterioration and "collapse". The former is unquestionably taking place. Inflation is resulting in a rise of prices of from ten to twenty percent per month and the will and ability to collect taxes on the well-to-do and decrease expenditures is lacking. The possibilities are that the paper money will become completely worthless. Such an eventuality or even a continuation of the existing course of inflation would decrease still further the efficiency of the Chinese economic and war machine -- the mere business of living will absorb more time and attention, more inequities and inequalities as between groups and individuals will arise, morale will deteriorate still further. The Army and the Bureaucrats will protect themselves by an extension of the present practice of collecting taxes in kind and the burden on the peasants, the only ones who cannot escape such taxes, will increase.

This is a gloomy picture but it does not necessarily imply a "collapse", but merely a continuation of the trends that set in around 1938. A point may eventually be reached where isolated peasant riots and revolts may occur (several such took place recently),but so long as the army is fed and the leadership remains united such revolts cannot lead to a breakdown.

There is one possibility that could result in a cessation of what little active resistance prevails and that is a bad crop failure in Free China. Such an occurrence could be exploited by the Japs in such a way as to result in wholesale desertions of troops and mass exodus of peasants to the Occupied Areas.

Is the Generalissimo's Position Threatened? - Here, again some prevailing differences of opinion might be removed by making a distinction between the Generalissimo's position and his power. His position as probably the only individual capable of being recognized as the leader of the various groups and cliques, both in and outside the army, is believed to be secure. His power to command and secure obedience, on the other hand, is severely circumscribed. His strength lies partly in his ability to play one faction off against another (even in his own family!) and in recognizing the limitations on his own power. His weakness, however, lies in the fact that he has no

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politically strong mass support and leans entirely on the Gentry (landlords), Bureaucrats and Army. Consequently, he can do little to bring about any reforms that interfere with the prerogatives and privileges of these groups and is consequently debarred from taking such actions as would establish a trend toward the creation of a modern, efficient, patriotic state. He can exhort the Party and the Army to be efficient, to be honest, to deny themselves special privileges, to resist nepotism, to win the support of the peasants and the soldiers and the students. He cannot take appropriate action to secure such results. Owing to our natural tendency to personify, we are apt to concentrate our thoughts and energies too largely on winning the support of the Generalissimo to such and such a policy rather than to assessing the possibility that the policy in question can actually be carried out in China today.

What are the Motivations Underlying Chinese Policy? - The men surrounding the Generalissimo and the groups in turn surrounding them are with few exceptions men jockeying and maneuvering for position, power and privileges. Many can hardly be characterized as honest, efficient or patriotic men. They are distrustful of Western democratic influence as tending to threaten their privileges. They want American military and financial aid but not American culture or ideas. On the other hand, they are even more distrustful of Russia, whom they accuse of giving moral support to the Chinese communists and whom they fear will give physical support in the future. These considerations give some clue to the current dominant anti-foreign, anti-communists lines in Chungking policy. The disproportionate amount of emphasis placed on the abolition of the unequal treaties arises partly out of a desire to conceal the absence of any positive reform program and partly out of a desire to stir up and keep alive the distrust of the Western powers and discredit their democratic pretensions.

Men like the Minister of War, the Minister of Education and the Head of the Secret Police must necessarily feel profound distrust of our policy and influence. It would be most unrealistic to expect their actions to be motivated in the slightest by any feelings of friendship for us or gratitude for what we may do. We do have genuine and admiring friends in China. These, however, are largely in the university faculties and lower ranks of the Bureaucracy, and the former are being gradually starved and demoralized.

The conclusion appears inescapable, therefore, that we are dealing with a large group of men who have definite interests with which they fear we may interfere, who have no particular affection for us, and who are determined to secure as much from us as possible while

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parting with as little as possible. If it were possible for us to win the war with no help from China and with no prejudice to China's ability to secure its war aims, and at the same time strengthen the ability of the Kuomintang to perpetuate its power, resist reforms and suppress the Communists, this would constitute the ideal outcome from the Chinese Government's point of view.

Our national interest, on the other hand, would best be served by the maximum use of a united Chinese army and people, by progress toward a more efficient, honest, democratic state, and by the avoidance of civil war.

Our Bargaining Position - The Chinese have in every way sought to create the impression that our bargaining position is weak. Basically this rests on the thesis, constantly repeated, that the Japs can be defeated only from operations from the mainland of Asia. We must, therefore, the argument runs, at any costs keep China in the war. From time to time the threat or warning of "collapse" or, in more veiled terms, the "defection of important elements to Wang Ching-wei" is made.

Actually the Chinese Government's bargaining position is quite weak and ours is strong. Chiang and the various party leaders have time and again and in numberless ways, shown that they share in our complete conviction of ultimate victory over Japan. To go over to the Japs would merely mean, in their eyes, going over to the losing side and leaving the future of China to the Chinese communists. In addition, of course, Kuomintang leaders look to America for billions of dollars in the post-war period while the Army, in particular, look to us for the airforce and industrial underpinning of an ordnance industry that will permit the suppression of the communists and will provide the requisite strength for the eventual clash with Russia they all expect. Moreover, both Chinese governmental and private cash balances (including those of Ministers) are in this country and would presumably be forfeit under certain conditions. Finally, it is not inconceivable that Japan can be defeated otherwise than from the mainland of Asia and it would do no harm to drop hints to this effect. It is inconceivable that Japan would be unbeatable if we had no allies on the mainland.

Some Possibilities. - The underlying factors sketched above obviously must enter into the determination of our Far Eastern military and political policies. Before, for example, completely

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committing ourselves to a defeat of Japan through China policy, we must assess the amount of help we may realistically expect from China (a) in retaking Burma, (b) in offensive action against Japanese forces, (c) in defensive action against Japanese attacks, (d) in organizing transportation in China. These, in turn, depend upon the full exploitation of our bargaining position in securing a revolutionary change in the will and ability of Chinese armies to fight. The dangers that must be faced are that certain elements in China will seek to secure the maximum in supplies while refraining from combat with the Japs; and that the building up of a powerful American airforce in China will induce the Japs to attack before a sufficiently strong ground force to defend airbases can be built up and trained. So long as advanced airbases and land forces have to be supplied from India, logistics will favor the Japanese. It may be taken for granted that before we are in a position to threaten Japan seriously from China the Japanese will make a supreme effort to destroy our base of operations.

Another direction in which our bargaining position must be exploited fully is in the political and economic field.

Neither the Government nor the Communist forces can be expected to make their full contribution to the war against Japan when they expect to have to engage in a war of extermination against each other. Moreover, such a war following or just preceding the defeat of Japan would be prejudicial if not for the preservation of the peace of the world certainly for the atmosphere in which a good peace can be contrived. There is grave danger that another Spain is in the making, where great powers line up in support of the different factions.

The solution of these problems requires statesmanship of a high order on the part of America. No occasion should be lost to demonstrate our friendship for the Chinese people; with the Government, however, the efficacy of sentiment and friendship is limited. We must insist on certain things being done and, assured that our diagnosis of the situation is correct, be prepared to disregard threats and reproaches in the realistic pursuit of our interests. It will, in the long run, cost us little more to defeat Japan from the islands and sea than from the mainland. It will cost us nothing to withhold financial aid in the post-war period. Our task will be enormously facilitated if the Chinese Government learns that we view the situation in this light and that our military and financial aid has a price. Unless we stick to that price, our aid will not serve the cause of the United Nations but will, on the contrary, be definitely harmful.

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